

relief to the taxpayers by tweaking direct tax slabs, the government has so far left untouched the urgent reform in indirect taxes. The Goods & Services Tax has now long been decried as anything but the good and simple tax it was touted to be, its five slabs attracting heavy criticism, chiefly for differential pricing for the same product with minimum value addition. Nothing has illustrated this better than the humble popcorn. Caramelised, it attracts 18 per cent GST, left unpackaged and unlabelled with only salt and spices, just 5 per cent. Differential pricing, though, is only one of the problems with GST; the cumbersome process of filing returns is another. The Centre has promised to rationalise GST and simplify the process of claiming input credits. But the time to do it is now. It must also work with states for a more effective outcome.

When it comes to MSMEs, the most frequent complaint has been that the high import, anti-dumping and safeguarding duties protect large industries and drive up the costs of the small scale sector, blunting their competitiveness. And even as ease of doing business has become a much-invoked mantra, the number of compliances businesses need to adhere to remains overwhelmingly high—close to 70,000, of which over 26,000 carry imprisonment clauses. Legal costs add to that heavy burden. The Economic Survey 2024-25 advocated an 'insolvency and bankruptcy reform' to help speed up the resolution process for failed businesses looking to wind up, but that advice did not make it to the budget document. V. Anantha Nageswaran, Chief Economic Advisor to the government, in his preface to the survey, said the Centre and state governments should stop micromanaging the economy and work towards "getting out of the way".

THE BUDGET MAY HAVE GIVEN HUGE REBATES ON DIRECT TAX, BUT THE GOVERNMENT HAS YET TO MOVE ON GST REFORM